

NVIDIA's \$14.5 Billion Finance Director A Cashless Buyback™ Case Study

Imagine – elevators carried passengers down only – cars drove just in reverse. As a former venture semiconductor CFO, I know firsthand that steering strategic finance through tough times is like going against traffic on a one-way street. The point is, a CFO has plenty of levers to pull when a company's shares are fully valued, but, when managing an undervalued firm, what can a CFO do? What maneuvers make sense?

A Cashless Buyback™ is the answer. In dealing with corporate undervaluation, it is, for equity finance – an up elevator – an advancing vehicle devouring an open road – a minimal cost / minimal risk transaction that offers a corporation high upside, benefits investors, and contributes to capital market efficiency.

A Cashless Buyback™ sets before a CFO a proposition in the following general form:

“Your firm now has an equity valuation of \$1.000 billion with 100 million shares outstanding trading at \$10.00 apiece. If your company's stock price can hit a \$22.00 target within 7 years, then, by putting in place a Cashless Buyback™ today, your firm positions itself, as soon as it achieves the target, either to a) receive a \$2.000 billion, tax-free, cash, 'bonus equity' payment with no change in share count or b) retire 47.6 million shares at zero cost. In any case, trading volume in your firm's shares will increase, ownership broaden, short interest will be eliminated, and your firm's access to equity capital markets will improve. If you miss the target, there is no penalty – no cash outflow, no dilution, no debt burden. The transaction carries no counterparty risk.”

Cashless Buyback™ terms are so far off the beaten track of pedestrian financial expectations that they sound like anti-gravity or a perpetual motion machine. They stretch the limits of what conventional wisdom deems possible. So, no one should blame CFO's and their teams, paid for prudence, for being skeptical when presented with Cashless Buyback™ proposals.

Still, NVIDIA's Finance Director rejected out of hand any serious consideration of a Cashless Buyback™. His closed-minded attitude cost NVIDIA \$14.5 billion. Perhaps his knee-jerk response reflected the finance profession's past misadventures with novel instruments (LYON's, ARS's in particular, and now, possibly, ASR's). Whatever. Without blame or judgment, his inaction is a relevant teaching moment. The enormous size of NVIDIA's opportunity cost should inspire in others clear, clinical, reasoned due diligence in evaluating the components of a Cashless Buyback™.

STRATEGIC FINANCE

CEO's are paid for boldness, but CFO's survive through prudence.

CFO's oversee, authorize, record, systematize, and analyze large amounts of diverse types of transactional data. Assure control. Optimize procedures and processes to maximize margins. Minimize taxes. Communicate prospects internally to guide strategy and externally to assure capital availability. Prepare pro formas to assess and facilitate mergers, acquisitions, and divestitures.

CFO's have responsibilities enough without any need to pioneer in the field of strategic finance. All the more so given the cautionary tales of the 1980's and 1990's. Back then, some CFO's did pioneer newly created financial instruments, and many dozens more followed. Some of these efforts proved memorable misadventures.

The LYON (Liquid Yield Option Note)

Consider Merrill's LYON. The brainchild of a leading retail account broker, the product was designed to appeal to that investor sector¹.

A LYON is a zero-coupon, accreting bond always convertible into a fixed number of common shares. Notes are sold at a discount. For the issuer, the product is tax-advantaged: accretion is tax deductible. Cash interest is deferred and may never actually be paid if the bond converts. The instrument has a conversion price that moves up over time in concert with the bond's increase in accreted value. Typically, imputed interest (the accretion rate) is low and the initial conversion price at a high premium to spot. This mix of features attractive to issuers is feasible because the buyer receives a put.

A fully valued company most appropriately sells a traditional convertible: the issuer is short a call. In theory, a fairly valued or undervalued company more appropriately issues a LYON: the issuer is short a further out-of-the money call, and, importantly, has also sold an at-the-money put.

Demand for LYON's was apparent. Buyers saw LYON's as a reduced-risk way to participate in an issuer's upside². However, issuer interest in providing supply was initially an open question. The product kicked around Merrill's skunk works for a couple of years until an issuer was found in 1985. Dozens of offerings then quickly followed. Merrill had 80% share of a market estimated at in excess of \$4 billion (proceeds) in 1992³ for LYON's-type instruments.

¹ "The Origin of LYON's", *Journal of Applied Corporate Finance*, J. McConnell and E. Schwartz.

² "[Corporate Bonds: Structures & Analysis](#)", R. Wilson, F. Fabozzi.

³ "LYON Taming", McConnell, Schwartz, *Journal of Finance*, Vol. 41, No. 3, July 1986.

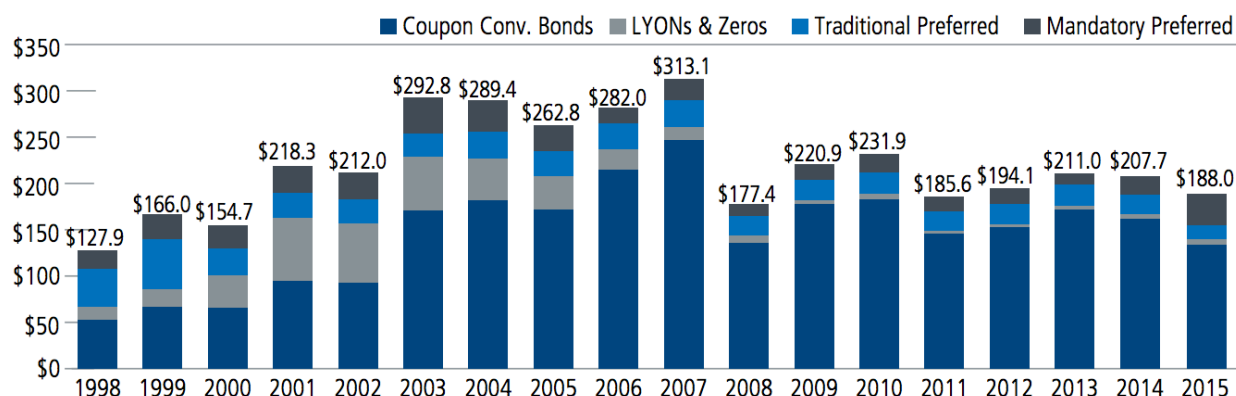
A challenge to LYONs emerged in December 1991 when the IRS denied the deductibility of the accreted interest⁴, but the IRS dropped its objections shortly thereafter⁵. Early challenges caused only a hiccup⁶ in demand growth for LYON's.

In December 1995 the Clinton administration proposed ending the deferral of tax on LYON's original issue discount⁷. Subject to further research, ongoing tax uncertainty for both buyers and sellers over the course of time may have become a contributing factor to the eventual decline in popularity of LYON's, but not before completion of many \$10's of billions of offerings by Merrill and its competitors in the decade or two following the instrument's introduction.

Still, 20 years after introduction, LYON's had faded from the scene. In the end, it seems likely that issuers simply became disenchanted with how LYON's worked. In practice, LYON's often delivered little to an issuer's capital planning program besides complication. Buyers put back a significant proportion of issues, and put exercises, by their nature, tended to be at inopportune times. A company that thought low-cost capital sourced through LYON's could fund long-term plans was often roughly disabused of that misconception. Because of the put, absent a guarantee of stock price appreciation, capital from LYON's could not actually be spent.

To the extent the lesson of LYON's is woven into the psyche of today's CFO, finance teams might understandably take a cautious stance on strategic finance trail blazing.

1998 – 2015 (\$BIL)



Source: BofA Merrill Lynch Convertibles Research. In 2015, BofA ML Convertible Research changed its methodology to only include securities that are priced by specific third party data providers, and names that are not priced by those providers have been removed.

LYON's: NOW REDUCED TO A SLIVER OF TOTAL CONVERTIBLE OFFERINGS⁸

⁴ "Tax Status of LYONs, One of Street's Hottest Products, Gets IRS Challenge", Randall Smith, WSJ, 1992; also Floyd Norris, New York Times, 12/17/91.

⁵ "IRS Drops LYONs Case", New York Times, Financial Desk, 1/22/92

⁶ "I.R.S. Ruling on LYON's", NYT, 12/21/91.

⁷ "Tax Provisions Would Hurt Wall Street", Christina Duff, Wall Street Journal, 12/8/95.

⁸ Source: "Convertible Structures, Valuation, Market, and Allocation", Calamos Investments

The ARS (Auction Rate Security)

The ARS⁹ delivered an even tougher lesson to corporate finance adventurers.

Invented in 1984 by Lehman and launched in 1988 by Goldman, ARS's held out the promise that corporations could tap long-term capital at short-term rates through a frequent auction process. \$100's of billions of ARS's were issued over the next 20 years. However, in 2008, many of the auctions failed. A high proportion of ARS's culminated in lawsuits and complex settlements.

Lingering memories of the damage inflicted by ARS's might reasonably contribute to making CFO's cautious on strategic finance innovation.

The ASR (Accelerated Stock Repurchase)

The ASR surfaced in recent years. A company pays cash today and receives shares back "at a discount" from a bank over some time period, usually a few months or a year, sometimes longer. Do these programs, net of costs, succeed in purchasing shares for a company at a lower price than the company itself could have obtained? Do all shareholders equally benefit from purchases under these programs? Do front-runners profit? Do insiders? These remain open questions. ASR programs remain popular, but, in some cases, they have led to catastrophic failures¹⁰ and serious governance questions¹¹.

The full history of the ASR has not played out, but ASR's are a third reason at least some CFO's may approach innovation in strategic finance with caution if at all.

The Cashless Buyback™

A Cashless Buyback™¹² sets before a CFO a proposition in the following general form:

"Your firm now has an equity valuation of \$1.000 billion with 100 million shares outstanding trading at \$10.00 apiece. If your company's stock price can hit a \$22.00 target within 7 years, then, by putting in place a Cashless Buyback™ today, your firm positions itself, as soon as it achieves the target, either to a) receive a \$2.000 billion, tax-free, cash, 'bonus equity' payment with no change in share count or b) retire 47.6 million shares at zero cost. In any case, trading volume in your firm's shares will increase, ownership broaden, short interest will be eliminated, and your firm's access to equity capital markets will improve. If you miss the target, there is no penalty - no cash outflow, no dilution, no debt burden. The transaction carries no counterparty risk."

⁹ ["Auction Rate Security", Wikipedia.](#)

¹⁰ See ["Evergreen Case"](#), M. Gumpert and ["SunPower Addendum"](#), M. Gumpert.

¹¹ See LPL Finance case discussed in ["MPS Case Study"](#), M. Gumpert

¹² ["Antigravity Not Required"](#), M. Gumpert.

Cashless Buyback™ terms simply sound too good to be true. And, given their experience with LYON's and ARS's (plus some companies' experience with ASR's), and given their many other responsibilities, it is no surprise that a CFO would take a dim view of an invitation to experiment with yet another instrument.

Certainly, NVIDIA's response to launching a Cashless Buybacks™ was cautious.

NVIDIA

NVIDIA's Treasurer Nigel Allen and Finance Director Robert in 2004 were among the earliest finance executives to take a presentation on Cashless Buybacks™. Nigel arranged a follow-up joint meeting with a well-known, boutique, tech-oriented investment bank to discuss the pros and cons of a Cashless Buyback™ as compared to a traditional stock repurchase program. Over the years, updated Cashless Buyback™ terms were offered to NVIDIA, and, occasionally, Robert sought further information, once indicating his call was at the request of NVIDIA's CFO.

In July 2014, with its stock trading at \$19.30, a proposed Cashless Buyback™ would have positioned NVIDIA to receive, as soon as its stock hit \$44.00 at any time within 6 years, a tax-free, cash, \$14.5 billion "bonus equity" payment. Cost and risk were minimal. NVIDIA's stock price did hit the \$44.00 target in May 2016. Today, because NVIDIA declined to execute the July 2014 proposal, the company is \$14.5 billion poorer than it might have been.

Over the years, NVIDIA's Finance Director Robert consistently advised his firm against engaging in a Cashless Buyback™. Since the results of the July 2014 proposal would have turned out so well, is Robert now more likely to endorse a Cashless Buyback™? No. To the contrary, Robert refuses to receive any further proposals. The cost of inaction is low: no one tracks what is not done. Robert's \$14.5 billion decision remains largely unknown.

The prudence of finance teams is understandable. The constructive question is, what could have been / might still be done to better convince NVIDIA's Finance Director Robert to move forward? Open him to the suggestion that more opportunities may lie ahead? Assure he gives future proposals due consideration?

For corporations, the NVIDIA case holds lessons on the due diligence responsibility of managers to their firms and their shareholders. To financial innovators, the NVIDIA case is a study in the difficulty of overcoming managerial complacency especially when the cost of managerial inaction goes unrecognized.

Meanwhile, the irony is that, while bad deals (some LYON's, ARS's, and ASR's) have sometimes become wildly popular simply because someone has done one, the almost unbelievably good terms on a Cashless Buyback™ go ignored because no one has done one.

7/17/14 PROPOSAL TO NVIDIA CORPORATION

From: Michael Gumport
Date: Thursday, July 17, 2014 at 11:22 PM
To: Nigel Allen Treasurer
Cc: Robert C Finance Director, Colette Kress CFO, Jen-Hsun Huang CEO, Brooke Seawell Director
Subject: If NVIDIA is Substantially Undervalued, It should...

NVIDIA CORPORATION CONSIDERATION ONLY
NVIDIA Authorized to Distribute Solely for Evaluation – Patent Pending

Nigel:

It has been 18 months since I last contacted you. Is NVIDIA's stock (\$19.30) still substantially undervalued? If so, then NVIDIA should revisit a Cashless Buyback™.

BENEFIT – A Cashless Buyback™ now positions NVIDIA, once its stock price hits \$44.00 at any time within 6 years, to receive a tax-free, cash, "bonus equity" payment of \$14.507 billion (59.1% anti dilutive; no new shares issued).

RISK – Limited to modest setup costs. No other cash outflow, shareholder dilution, impediment to paying dividends or diminution of borrowing capacity. Zero counterparty risk.

Terms are flexible. The deal affirms management's confidence. World-class governance principles are strictly observed. Secondary benefits include increased trading volume, a broader investor base, better access to equity markets, and elimination of short interest.

Launch requires 3-6 months. Let me know if you would like another presentation.

Regards,

Mike
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MG Holdings/SIP is exclusively dedicated to architecting and executing high value added transactions for corporate finance advisory clients. Proprietary structures include Cashless Buybacks™, Cash xPRT™ IPOs/offerings, and the Cashless Buyback Plus™ (patents pending). Based in Summit, NJ.

5/23/16 CONGRATULATORY NOTE TO NVIDIA CORPORATION**From:** Michael Gumport**Date:** Monday, May 23, 2016 at 2:32 PM**To:** Robert C, Finance Director**Cc:** Colette Kress CFO, Jen-Hsun Huang CEO, Directors Harvey Jones, Mark Perry, Brooke Seawell**Subject:** NVIDIA - Congratulations

Robert:

Congratulations on NVIDIA's stock price surpassing \$44.00.

Ever since I first met with you and former NVIDIA Treasurer Nigel Allen, you have consistently advised NVIDIA not to do a Cashless Buyback™. Why?

I ask because, happy as you must be at NVIDIA's appreciation, you would be even happier if you had executed the July 2014 proposed Cashless Buyback™ (below). As presented, NVIDIA today would be receiving a \$14.5 billion, cash, tax-free, "equity bonus" payment (no shares issued; no debt) and trading considerably higher.

In brief, had you elected to proceed with the proposed Cashless Buyback™, you now would be NVIDIA's \$14.5 billion Director of Finance, a notable accomplishment.

The next time you conclude a company you lead is substantially undervalued, remember, a Cashless Buyback™ is the best way for a company to capitalize in size at low risk on that situation.

Regards,

Mike

Michael A. Gumport, CFA

Tel. - 908-273-0116



HAD NVIDIA EXECUTED THE JULY 2014 CASHLESS BUYBACK™ PROPOSAL, IT WOULD NOW BE RECEIVING \$14.5 BILLION AND ITS SHARES WOULD NOW BE TRADING SUBSTANTIALLY HIGHER.

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Initial Release: 5/30/16

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Scandal

Long title: The Next, Great, Corporate Scandal: Potential Liability of Corporations Engaged in Open Market, 10B-18 Buybacks; A Minority View; Case Histories; Summary of Published Studies; Direction of Future Research

Conclusion: In 2006 U.S. corporate stock buybacks by S&P 500 companies are expected to exceed \$400 billion with 95% conducted through “open market” transactions. Buybacks account for nearly 70% of corporate cash distributions, squeezing dividend growth. Financial studies indicate buybacks in the 1960's signaled improved future operating results and undervaluation, later were used to optimize capital structure, but now largely are offsets to executive options. The link of buybacks to option grants underscores the potential for governance review. Legal studies debate the propriety of buybacks, and litigators consider the potential for liability to attach to buybacks. Drafters of 10b-18 (buyback safe harbor) report no significant enforcement activity against firms engaged in stock buybacks, but, with governance consensus in flux, and with U.S. buyback regulations among the world's least restrictive, buyback programs should be reevaluated to assure conformance to changing standards of best practices.

First Release: 8/28/06,

Availability: www.ssrn.com/abstract=927111

Scandal's Statistical Companion,

Long title: Scandal's Statistical Companion - Quantitative Efficiency in \$91 Billion of 10b-18 Corporate Stock Buybacks - Performance vs. Efficiency

Conclusion: The typical NASDAQ company in a small sample that executed \$91 billion of stock buybacks in 2004 – 2006 (about 10% of all repurchases) paid 1.52% in excess costs versus a “naïve” strategy of investing a constant dollar amount at VWAP (volume weighted average price) every month. A large proportion of companies at periods of peak activity accounted for over of 10% of monthly trading volume. A highly tentative look at performance suggests that, in addition to poor execution efficiency, corporations' buybacks may not be generating reasonable performance returns. Companies included are AMAT, CSCO, INTC, MSFT, NTAP, ORCL, SYMC, and YHOO.

First Release: 10/30/06

Availability: www.ssrn.com/abstract=941028

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Initial Release: 5/30/16

Shoot the Accountants

Long title: Accounting for the Buyback Boom - The Next Step for Options and Equity Expensing

Conclusion: Stock buybacks boomed in the first years of the 21st century even while their returns trended towards 0%. Unlike dividends, which can never be mispriced and treat all shareholders equally, buybacks can be “good” (when shares are underpriced) or “bad” (when shares are overpriced) and may systematically favor one group of shareholders over another. “Bad buybacks” are now estimated to generate over \$10 billion annually in excess costs borne largely by public (non-management) shareholders. Various works have identified options as a stimulant to the use (and misuse) of buybacks. This essay goes the additional step of suggesting that equity accounting has accelerated the boom and argues 1) Gains/losses on stock buybacks should be included in the financial (“other”) section of the income statement, and 2) Reported option expense in the income statement should face a “true up” upon an option’s expiration or exercise.

First Release: 3/13/07

Availability: www.ssrn.com/abstract=970597

Shareholder/Management Stock Buyback Profit Splits

Long title: *Stock Buyback Profit Splits: Shareholder / Option Holder Conflicts and Liabilities (11 Case Studies)*

Conclusion: In 11 case studies of companies that conduct \$90.6 billion of buybacks in 2004-2007, the average company has an option plan that suggests shareholders and option holders will split future equity value growth 85/15 in favor of shareholders. However, the split from buyback benefits actually is 43/57 in favor of option holders. The 42 point “excess return” to option holders on average amounts to \$1.013 billion per company. It is equivalent to a cost per share of 2.2% borne by shareholders. The capitalized cost to shareholders of the “excess return” to option holders from buybacks equals 13.7% of the average company’s current stock price and is akin to a dividend paid by stockholders to option holders. Whether the skewed division of buyback profits is fair and reasonable depends upon the particular circumstances of each company. Companies included are AMAT, CSCO, CY, INTC, NSM, NVDA, ORCL, SNPS, SYMC, TXN, and XLNX.

First Release: 7/17/07

Availability: www.ssrn.com/abstract=1001327

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Initial Release: 5/30/16

Anti-Gravity

Long title: *The Cashless Buyback™ - A Superior Alternative to 10b-18 Cash Buybacks - How CFOs Can Sell a \$10 Stock for \$24 as Soon as It Hits \$16 (or Buy 15% of Their Company for Zero Cost) Risklessly - Antigravity Not Required*

Conclusion: "Antigravity" introduces a transaction so implausibly attractive it would be deemed impossible were it not that U.S. companies already "float" an inferior equivalent at a rate of nearly \$500 billion per year. A "Cashless Buyback™" is exactly like a cash buyback minus the risk and should be viewed as a supplement (or superior alternative) to a 10b-18 cash buyback of stock. A Cashless Buyback™ allows a firm whose stock is at \$10.00, immediately on hitting a target of \$16.00 anytime within 3 years, to sell new shares at \$24.00 apiece or, alternatively, retire 15% of total outstanding shares for \$0 cost (zero). If the target is missed, the company pays no penalty - no interest, no assumed debt, no shareholder dilution. Cash only flows in, never out. Accounting and tax are straightforward and neutral. Governance adheres to world class standards. Low risk makes the deal executable in unusual size (a 75% buyback is feasible). The instrument can also provide issuers a 25% improvement in pricing controversial IPOs and follow-on offerings. Though terms may sound too good to be true, antigravity is not required.

First Release: 8/16/07

Availability: www.ssrn.com/abstract=1007484

Convert Funded Stock Buybacks

Long title: *Understanding Convertible Debt Funded Stock Buybacks - Cypress Semiconductor Case Study*

Conclusion: A convert funded buyback's fees and associated stock trading patterns may be good for banking syndicates that cobble together the moving parts, but the offsetting advantages for the corporation are less apparent. A case study finds the ASR portion of a \$600 million Cypress Semiconductor transaction at least \$15 million overpriced and the related monthly buyback transaction reports misleading in their presentation of pricing.

First Release: 10/4/07

Availability: www.ssrn.com/abstract=1019326

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Initial Release: 5/30/16

ASRs Part I

Long title: *Accelerated Stock Repurchase Programs: Underreported and Overpriced? AMAT, CY, LLTC, and XLNX.*

Conclusion: In 2006 – 2007, ASRs are increasingly popular as a means to execute stock buybacks. Case studies find these programs, however, expose companies to hidden liabilities (provide no 10b-18 safe harbor against market manipulation charges), result in troubling, pre-deal trading (stocks advance 10% pre-deal), are costly (other structures give better risk/reward) and provide broadly deficient reporting. Companies that execute ASRs ought to disclose VWAP benchmark terms, uniformly report monthly stock transactions that reflect the actual price paid (if any) for shares when delivered, and, if appropriate, ascribe a portion of ASR outlays to fees. Whether ASRs facilitate efficient execution of large buybacks with superior governance may be an open question, but the need for better disclosure seems reasonably conclusive.

First Release: 10/12/07

Availability: www.ssrn.com/abstract=1021343

ASRs Part II

Long title: *Accelerated Stock Repurchase Programs: Underreported and Overpriced? Hewlett-Packard Addendum*

Conclusion: Adds consideration of Hewlett-Packard (HP) \$1.7 billion transaction to previous analysis of 2006-2007 ASRs. HP bankers report the deal “saves HP over \$100 million”, but the numbers suggest HP paid \$115 million (6.7%) too much. The HP analysis reinforces previous findings that ASRs expose companies to hidden liabilities (provide no 10b-18 safe harbor against market manipulation charges), result in troubling, pre-deal trading (stocks advance 10% before initiation), are sub-optimal (other structures give better risk/reward) and provide reporting that is broadly deficient.

First Release: 10/23/07

Availability: www.ssrn.com/abstract=1024012

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Initial Release: 5/30/16

GAAP's Gap: Pacioli after the Dutch East India Company

Long title: *Accounting for Equity Transactions - Marking Equity to Market: 400 Years Overdue? Or, GAAP's Gap: Pacioli after the Dutch East India Company*

Conclusion: Argues it is time for accounting to recognize the existence of stock exchanges and stop treating the equity accounts of public corporations as if they belonged to 15th century private partnerships. When Pacioli's codification of the principles of accounting was published in 1504, stock exchanges did not exist. After the founding of the Dutch East India Company ("VOC") in 1602, that changed. It is time for accounting to change. Today, the equity market value of corporations routinely exceeds accounting book value by several fold. Some might postulate the spread is largely "theoretically justified" and partly "market error". An alternative explanation is just the reverse: The market is mainly right but accounting wrong, and the spread, "GAAP's gap", readily measured and monetized, reflects accounting's failure to adapt to the reality of public stock exchanges. Accounting should capitulate and treat equity like other assets and liabilities by marking it to market and recognizing profit and loss on equity transactions. Mark to market equity accounting eliminates GAAP's gap, loses nothing and gains much: Adjusted financial statements match today's but add lines that render a more complete picture of a firm's transactions and current standing. Treatment of share buybacks and option expense would most notably be affected and this essay carries arguments raised earlier in the author's "Shoot the Accountants" a step further.

First Release: 12/5/07

Availability: www.ssrn.com/abstract=1062201

GAAP's Gap Part II: Open Letter to FASB

Long title: *Accounting for Equity Transactions (Open Letter Re FASB Preliminary Views File 1550-100)*

Conclusion: Argues for mark-to-market equity accounting.

First Release: 12/10/07

Availability: www.ssrn.com/abstract=1069423

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Initial Release: 5/30/16

ASRs Part III

Long title: *Accelerated Stock Repurchase Programs: Underreported and Overpriced? Part III (KLA-Tencor Addendum)*

Conclusion: Adds consideration of KLA-Tencor's 2007 \$750 million accelerated stock repurchase (ASR) to previous analysis of 2006-2007 ASRs. Reinforces the view that ASRs provide inferior risk/reward relative to simple alternatives (inefficient execution), carry liability (ASRs are denied a 10b-18 safe harbor against charges of manipulation), show disturbing, pre-deal, stock activity (prices rise 10% shortly preceding an ASR), and may offer idiosyncratic, incomplete, or misleading disclosures. Specifically with regard to the KLA-Tencor transaction, concludes that, by electing to execute through an ASR, the firm overpays by at least 3-6% (\$23 - \$45 million).

First Release: 7/6/08

Availability: www.ssrn.com/abstract=1156116

Use/Misuse – Should 10b5-1 Order Instructions be Disclosed?

Long title: *Sen v. Jagolinzer: 10b5-1 “Use/Misuse” – The Upcoming Scrutiny and Debate – Should 10b5-1 Order Instructions Be Disclosed?*

Conclusion: Summarizes the competing claims of Sen and Jagolinzer on the implications of stock price performance subsequent to 10b5-1 sales. Jagolinzer sees a trend towards underperformance after 10b5-1 sales (misuse of insider knowledge), but Sen does not. While the battle between statisticians is still open, a practical solution would be to have 10b5-1 order instructions disclosed.

First Release: 7/16/08

Availability: www.ssrn.com/abstract=1161963

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Initial Release: 5/30/16

Collateral Damage – ASR Counterparty Risk

Long title: *Collateral Damage: Do ASRs Carry Counterparty Risk? – Evergreen Solar Case Study?*

Conclusion: In the case of Evergreen Solar, the company issues a convertible, buys a long call spread, and enters into a stock loan agreement. Shortly thereafter, the transaction causes the company a major loss due to a counterparty default. The case does not include a conventional ASR, but its three components together share many convertible-funded ASR features. That commonality raises the question of whether, similarly, the counterparty risk of complex ASRs might be routinely underestimated.

First Release: 10/9/08

Availability: www.ssrn.com/abstract=1281616

Penny Ante: Are Stock Buyback Commissions Reasonable?

Long title: *Penny Ante: Commission Admission – Microtune Case – Are Commissions Paid on “Plain Vanilla”, 10b-18, Corporate Stock Repurchases Reasonable?*

Conclusion: Microtune, Inc.'s (TUNE) unintentional release of its May 2008 stock repurchase commission cost data merits attention. Microtune paid a commission rate of 0.492% (1.95¢ per share), a rate that seems high for a riskless, “plain vanilla” transaction. Excessive commission fees may be among the less serious shortcomings of corporate stock buyback programs, a matter of pennies. Still, pennies add up. In 2007, S&P 500 buybacks peaked at \$589 billion. If all buybacks were executed at the rate paid by Microtune, commissions on buybacks would have been \$2.9 billion. Is the Microtune transaction representative? Are buyback commission and expense fees high? If high, does that reflect the cost of regulatory compliance, or do companies just pay too much? If answers to these questions must hinge on the inadvertent release of commission data by a single company for a single month, then the natural conclusion is another question: Is reporting of corporate stock repurchases adequate?

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Initial Release: 5/30/16

“Mirror, Mirror...” - Corporate Stock Buyback Profits of 276 Firms

Long title: *“Mirror, Mirror...” – The Buyback Monitor - Corporate Stock Buyback Profits of 276 Firms.*

“Modern” accounting *never* reports buyback profits. In conformance to 15th century conventions, buyback returns bypass the income statement and distort the balance sheet. Absent periodic accountability, the current study puts a limited sample of recent buybacks in context, if only for an instant. Coverage is provided for 276 companies, principally in the technology sector and with total current equity market value of \$529 billion, who executed \$135 billion of buybacks largely in 2007-2008. 54% (150) of the sampled companies engaged in buybacks. Of those, 3% had profitable buyback programs while 97% had unprofitable programs. *The average sampled company that engaged in buybacks in recent years suffered a 34.9% loss on cash invested in buybacks. Had those companies refrained from buybacks, then their share prices today would be 9.9% higher.*

Individual company performance is tabulated by: 1) Largest percentage profit (return on cash invested in buybacks), 2) Largest percentage benefit (consequent change in stock price), 3) Alphabetically.

First Release: 1/25/09

Availability: www.ssrn.com/abstract=1332866

COMMON TERROR – Permissible Error in Financial Statements – Teradyne Case

Long title: *COMMON TERROR – Permissible Error in Financial Statements – Teradyne Case Study – Why a \$24 million Accounting Error Need Not Be Corrected.*

Teradyne's 3Q07 10Q report on its monthly stock repurchases includes a \$24 million error, but the company decides not to issue a correction. In a world in which equity transactions such as stock repurchases, in conformance to 15th century tradition, are deemed never to cause a profit or loss, it makes sense that Teradyne disregard the error as inconsequential. But, if such reasoning seems out of joint, then perhaps Teradyne should correct its error? “COMMON TERROR”, a commentary on Teradyne's ethereal view on permissible error in financial statements, highlights that rules of equity accounting are overdue for overhaul and argues for a simple solution: Treat equity transactions the same as any other asset or liability with gains/losses included in the income statement. Tolerance for misstatement will vanish.

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Initial Release: 5/30/16

ASRs Part V: Rumpelstiltskin Accounting -Spinning Gold from Straw

Long title: *ASRs Part V: Rumpelstiltskin Accounting – Spinning Gold from Straw (Silicon Image Addendum)*.

Silicon Image's ASR shares the transaction's standard shortcomings, but the firm's auditors go the extra mile. In conformance to 15th century tradition, "modern" accounting deems equity transactions, including stock repurchases, never give rise to income. Accordingly, Silicon Image might, in a run of the mill performance, have commissions, fees and true economic consequence of fluctuating share prices vanish... But, with an extra flourish, Silicon Image's auditors transmogrify the \$62 million ASR into *a \$1 million reported profit* "earned" through dealings with counterparty banker Credit Suisse. We need not believe Credit Suisse takes a loss on its side of the bargain (do we rush to aid the lady the magician will saw in half?); the illusion is spectacle enough. In short, Silicon Image makes full use of conventional stock buyback reporting blandishments, but its auditors go a troll's stomp further in insisting the firm profits and that, like Rumpelstiltskin, their client Silicon Image spins gold from straw.

First Release: 3/12/09

Availability: www.ssrn.com/abstract=1358567

Sunstruck: Accounting for Corporate Stock Loan Agreement Costs

Long title: *Sunstruck: Accounting for Corporate Stock Loan Agreement Costs – Energy Conversion Devices and SunPower Cases (Addendum to Evergreen Solar Study)*.

A report on Evergreen Solar suggested counterparty risk be added to the litany of misgivings on the economic efficiency, absolute performance, and governance of accelerated stock repurchases (ASRs). The current study briefly reviews two additional solar companies who, like Evergreen, engage in stock loan transactions. Evergreen exposed itself to 18.7% dilution through its stock loan agreement, a risk quickly realized. In Energy Conversion Devices' case, the firm shoulders 7.5% potential dilution, and SunPower countenances 5.5% potential dilution (a portion of which has been realized). In all three instances, the companies receive *zero* benefit from the stock loan other than the promise of "facilitating" a convertible issuance. The data collected is a first step towards answering: 1) How prevalent is the corporate practice of entering into stock loan agreements in conjunction with convertible or other offerings? 2) Accounting treats stock loans as "free" (no EPS effect). Is that reasonable? 3) What is the economic value to the counterparty (the brokerage), who receives stock in a stock loan agreement?

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Initial Release: 5/30/16

American Equity Security Rights

Long title: *American Equity Security Rights – A Distinctive Class of Financial Transactions (Notes on “European” Rights Including HSBC/Goldman Sachs).*

An *American* rights offering is a proposed, distinctive class of financial transactions whose merits shine brightest in juxtaposition to the conflicts and shortcomings of a traditional (“*European*”) rights offering. This report reviews the math, selected studies, and recent events bearing on traditional rights offerings to provide financial and historical context as a foundation for the future introduction of American equity rights offerings.

An American rights offering requires no capital commitment. Voluntary participation by shareholders can be predictably close to 100%. Corporations with the most outstanding prospects will find the terms most compelling and may be expected to be the chief issuers. The structure is a paradigm of good governance, a walk on the sunny side of corporate finance. A concrete example of an American rights offering will be presented at a later date and take the concept from the realm of the hypothetical to the practical.

First Release: 7/6/09

Availability: www.ssrn.com/abstract=1430711

Buyback Monitor – July 2009

Long title: *Corporate Stock Buyback Profits of 273 Firms from 2000 into 2009.*

In conformance to 15th century conventions, “modern” accounting *never* reports buyback profits. The current “Monitor” extends an earlier study back to 2000 to look at the actual profitability of \$263 billion of buybacks executed by a sample of 273 corporations, largely in the technology sector, with total equity market value of \$655 billion. 66% of sampled companies engaged in buybacks. While this studies’ reporting methodology tends to significantly overstate buyback profitability, only 25% of buyback programs are currently reported to be profitable. *The average sampled company that engaged in buybacks paid out 43% of its current equity market value to buy shares that subsequently declined in value by 19.7%. Had buybacks not been executed, share prices for these companies now would be at least 8.4% higher (or, after adjustment for bias in methodology, more than 13% higher).* Individual company performance is tabulated by: 1) Largest percentage profit (return on cash invested in buybacks), 2) Largest percentage benefit (consequent change in stock price), 3) Alphabetically.

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Initial Release: 5/30/16

Recognition of Intangibles – Divining Rods Unnecessary

Long title: *Accounting's Recognition of Intangibles - Response to Penman/CEASA - Why Marking Equity to Market Makes Sense - 'Divining Rods Unnecessary'.*

CEASA's Penman acclaims accounting's "brilliance" and provides a reasoned argument as to why intangible assets should remain largely excluded from the balance sheet: Intangible assets are speculative. Still, Penman's basic premise merits closer scrutiny: What if an asset, while intangible, nonetheless has readily measurable value against which contracts are struck? What if its value can be monetized at will? How should such a "tangible intangible" be treated when the speculative element is, for all intents and purposes, entirely absent? From a strictly utilitarian standpoint, would recognition of "tangible intangibles" improve financial statements?

"Equity market value added" or "GAAP's gap", the spread between a firm's GAAP book value and its public equity market value, is a "tangible intangible" that Penman gives short shrift. The gap is a hallmark of "modern" accounting, and, for the typical public company, is quantifiable, substantial, and readily monetized. Penman's opposition notwithstanding, marking equity to market would eliminate the gap and increase the utility of financial statements to their key constituency, shareholders, as illustrated through the parable of Apex Securities and example adjusted financial statements.

First Release: 11/2/09

Availability: www.ssrn.com/abstract=1498307

Buyback Monitor – January 2010

Long title: *Corporate Stock Buyback Profits of 280 Firms, 2000 - 2009.*

This report updates and expands earlier studies to look at the actual profitability of \$338.4 billion of buybacks executed from 2000 through late 2009 by a sample of 280 corporations. The sample, drawn mainly from the technology sector, enjoys total equity market value today of \$1.052 trillion. *In the past decade, 67.1% of sampled companies engaged in buybacks, and, in total, paid 34.2% of their current equity market value to buy shares that subsequently declined in value by 4.2%. 38.8% of sampled corporate stock buyback programs are currently profitable (61.2% are unprofitable). Without buybacks, share prices for the group now would be at least 1.4% higher (or, after adjustment for foregone interest income, more than 5% higher). In part because large company buybacks did better than those of smaller companies, the typical company today suffers at least a 13.8% stock price penalty due to past stock buybacks.* This report also ranks the stock repurchase results of individual companies.

First Release: 1/3/10

Availability: www.ssrn.com/abstract=1530602

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Initial Release: 5/30/16

The Cashless Buyback Plus™

Long title: *Cash for Undervalued Corporations: Beating the Stock Plus Warrant Model (Case Study: Needham / QuickLogic 2009 Financing).*

A stock-plus-warrants financing makes perfect sense for an overvalued company in need of cash. Otherwise, better funding alternatives can be devised. This paper describes what Needham & Co. did for QuickLogic (QUIK) as placement agent in a November 2009 stock-plus-warrants deal and considers what might have been done instead. *Compared to a stock-plus-warrants transaction, a Cashless Buyback Plus™ would have afforded QuickLogic an opportunity to raise far more capital sooner at a higher price (a premium to QuickLogic's future price).*

First Release: 2/18/10

Availability: www.ssrn.com/abstract=1555245

Buyback Monitor – July 2010

Long title: *Corporate Stock Buyback Profits of 275 Firms, 2000 - 2010.*

This report updates and expands earlier studies to look at the profitability of \$349.7 billion of buybacks executed from 2000 through early 2010 by a sample of 275 corporations. The sample companies, drawn mainly from the technology sector, enjoy total equity market value today of \$945.6 billion. *In the past decade, 67.3% of sampled companies engaged in buybacks and, in total, paid 39.3% of their current equity market value to buy shares that subsequently declined in value by 13.5%. 35.7% of sampled corporate stock buyback programs are currently profitable (64.3% are unprofitable). Without buybacks, share prices for the group now would be at least 5.3% higher (nearly 10% higher after adjustment for foregone interest income). In part because buybacks by less numerous larger companies did better than those of more numerous smaller companies, the typical company suffered a bigger stock price penalty from losses on buybacks in the past decade than the group overall.* This report also ranks the stock repurchase results of individual companies.

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Availability: www.ssrn.com/abstract=1635485

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Initial Release: 5/30/16

Buyback Motives and Performance – National Semiconductor Case Study

Long title: *Do Misdirected Corporate Stock Repurchase Motives Lead to Poor Stock Repurchase Plan Results? National Semiconductor Case Study*

National Semiconductor states that its stock repurchase program's goal is to contribute to increasing the firm's return on invested capital for the benefit of shareholders and employees. In a survey of 275 corporations with current equity market capitalization of about \$1.0 trillion who executed \$350 billion of buybacks during the past decade, the "raw performance" (impact on stock price) of National Semiconductor's buyback program recently ranked 264th best.

The poor raw performance of National's stock repurchase program may be temporary. Still, the only economic justification for a stock repurchase program is that the repurchased shares are undervalued. *The key question is, does the poor raw performance of National's stock repurchase program result from National's misspecification of a reasonable economic objective? Did aiming to increase reported return on capital rather than to repurchase undervalued shares hurt National's buyback performance?* More generally, whether or not National's stock price rebounds and its buyback performance statistics improve, do companies as a group run less effective programs when they cite "improve return on capital", or "offset options dilution", or "reduce excess cash" as motivating buybacks rather than a goal to "repurchase undervalued shares"? The outline of a more comprehensive study is described.

First Release: 8/2/10

Availability: www.ssrn.com/abstract=1652566

Buyback Motives and Performance – KLA-Tencor Case Study

Long title: *Do Stated Corporate Stock Repurchase Motives Impact Stock Repurchase Plan Results – Part II – KLA-Tencor Case Study*

KLA-Tencor states it initiated a stock repurchase plan "...to reduce the dilution from KLA-Tencor's employee benefit and incentive plans such as the stock option and employee stock purchase plans." However, using stock buybacks to offset options dilution is unlikely to maximize the profitability of a stock repurchase program. KLA-Tencor's stated buyback objectives ("offset dilution", "distribute cash") raises the question of whether ill-conceived stated motives for corporate stock repurchase programs correlate with poor stock repurchase program results.

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Availability: www.ssrn.com/abstract=1681679

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Initial Release: 5/30/16

Buyback Monitor – July 2011

Long title: *Share Buyback Profits of 275 Firms 2000 - 2011.*

Expands through early 2011 studies of the raw performance (profitability) of \$383.5 billion of buybacks executed since 2000 by a sample of 252 corporations. Each company's buybacks are ranked by profitability and impact on stock price. The sample companies, drawn mainly from the technology sector, enjoy total equity market value today of \$1.240 trillion. 69.8% of sampled companies engaged in buybacks and, in total, paid 32.7% of their current equity market value for buybacks over the past decade.

Since a year ago, stock prices for the sampled group are up about 33.2%, in line with major U.S. market indexes. *59.7% of the last decade's sampled buyback programs are now profitable, shares bought back are worth 8.8% more than their cost, and buybacks in total have contributed +2.9% to the group's current stock price. Because larger buybacks by larger companies did better than more numerous smaller programs by smaller companies, the typical company's stock price saw a -5.7% contribution from buybacks. After allowance for foregone net interest income, the last decade's corporate share buybacks have provided little more than 0% benefit for the group overall and pushed the typical company's stock price down close to 10%.*

First Release: 7/5/11

Availability: www.ssrn.com/abstract=1879508

The Architecture of Compromise

Long title: *The Architecture of Compromise - Why CFO's Might Endorse a 100% Corporate Profit Tax, Repatriate Overseas Profits, Increase Dividends, and Reinvigorate U.S. Equity Capital Market Activity.*

Lashing together proposals to i) raise the federal corporate tax rate to 100% and ii) allow 100% corporate deductibility of dividend payments might span the divide between those who call for higher corporate tax rates and those who call for lower ones. Static analysis indicates the package would increase corporate tax revenue to the federal government by 146.9%; dynamic analysis indicates it would cut corporate tax revenue to the federal government by 53.1% but bring important, secondary benefits including lower corporate stock buyback activity, repatriation of overseas profits, sharply higher U.S. equity capital markets financing activity, higher after tax return on equity capital for U.S. investors, and improved governance through discouragement of corporate empire building.

First Release: 8/15/11

Availability: www.ssrn.com/abstract=1910067

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Initial Release: 5/30/16

Breaking Monte Carlo

Long title: *Breaking Monte Carlo – Industry Standard Option Model Limits – Implications for Investors and Corporate Finance.*

Pushing models to extremes can expose output biases that stem from underlying assumptions. In the case of industry standard option valuation models, long term, high volatility securities provide a stress test vehicle. For instance, in evaluating a stock with 60% volatility, industry standard option valuation models imply that 69.1% of the stock's value reflects the likelihood that the share price will rise 600% (septuple) within 10 years. For a portfolio of stocks with 60% volatility, industry standard models project a minimum of roughly 10% of the holdings will septuple over the course of a decade.

If widely used option pricing models are systematically skewed to overestimate the likelihood of upside stock price appreciation over long time periods, can investors with superior models find arbitrage opportunities? Are long term executive and employee option packages overvalued with, consequently, excessive expense recognized at grant? Might corporate finance managers find compelling capital strategies that existing pricing models erroneously dismiss?

First Release: 1/2/12

Availability: www.ssrn.com/abstract=1978477

Breaking Monte Carlo - Addendum

Long title: *Breaking Monte Carlo – Industry Standard Option Model Limits – Implications for Investors and Corporate Finance – Addendum – Equilibrium Option Pricing.*

This report continues on to observe that, at equilibrium, for a given set of stocks, as a first approximation, the expected return on a portfolio of “600% knock-in” options should equal the expected return on a complementary portfolio of “knock-out” options. If so, then implicit in industry standard option pricing models is the expectation that roughly 25% of stocks with 60% consistent volatility will septuple within 10 years, an extraordinary rate of appreciation.

The exceptionally high equilibrium anticipated returns for an improbably large percentage of high volatility stocks subsumed by industry standard option pricing models further reinforces the argument that standard option pricing models overvalue call options.

First Release: 1/20/12

Availability: www.ssrn.com/abstract=1989412

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Initial Release: 5/30/16

Governance: “Rolling Option Repricing”

Long title: *Corporate Governance – Incentive Pay with “Rolling Option Repricing” Terms” – The Role of Advisory Services (ISS, Glass Lewis) – Ramtron Case Study.*

Is an incentive pay plan that potentially authorizes option grants to management amounting to 26.6% of currently outstanding shares an unreasonable size (too expensive)? How does enabling the rollover and reissue of expiring/forfeited options at lower prices with extended maturities differ in end result from enabling option repricing (a practice cited by advisories as a cause for disapproval of a plan)? What can be said about the criteria and operation of institutional shareholder advisory services? Corporate officers and directors, in proposing pay incentive plans, may want to give these issues thought, and, regardless of the recommendations of advisory services, investors may wish to more closely inspect proposed plans that include “rolling option repricing” terms.

First Release: 5/13/12

Availability: www.ssrn.com/abstract=2071351

Buyback Monitor – April 2013

Long title: *Share Buyback Profits of 232 Firms 2000 - 2012.*

Expands through early 2013 studies of the raw performance (profitability) of \$457.6 billion of buybacks executed since 2000 by a sample of 232 corporations. Each company's buybacks are ranked by profitability and impact on stock price. The sample companies, drawn mainly from the technology sector, enjoy total equity market value today of \$1.221 trillion. 75.0% of sampled companies engaged in buybacks and, in total, paid 38.9% of their current equity market value for buybacks since 2000.

51.1% of the buyback programs since 2000 are now profitable. For the group overall, after 13 years, repurchased shares today are worth 13.0% more than their cost. That profit on buybacks equals 5.1% of the group's current equity market value and equates to a +3.7% increase in the group's stock price before adjustments. After adjustment for foregone interest income net of dividend savings, buybacks since 2000 have provided roughly a 0% benefit to the stock price of the sample group overall; the impact of buybacks on the typical company's stock price was significantly worse.

First Release: 4/30/13

Availability: www.ssrn.com/abstract=2258706

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Initial Release: 5/30/16

The Strategic CFO

Long title: *The Strategic CFO – Capitalizing on Undervaluation; Pericom Semiconductor and Broadcom Case Studies.*

A Cashless Buyback™ is a low risk transaction that enables a public corporation to capitalize in size on a period of substantial equity undervaluation.

This report underscores M&A considerations of Cashless Buybacks™ through 2 case studies. In September 2015, Pericom Semiconductor (PSEM) received two takeover bids offering about \$18.00 per share. Had Pericom elected to implement either of the Cashless Buyback™ proposals it received in 2013-2014, the takeover offers would have been priced about \$12.00 per share higher. In May 2015, Avago agreed to acquire Broadcom Corporation (BRCM) for over \$54.50 per share. Had Broadcom elected to implement the Cashless Buyback™ proposal it received in 2013, the Avago offer would have been priced nearly \$24.00 per share higher.

A list of Cashless Buyback™ precedent transactions is provided.

First Release: 11/1/15

Availability: www.ssrn.com/abstract=2684953

The \$1.742 Billion CFO

Long title: *The \$1.742 Billion CFO – MPS Case Study – Notes on Traditional Buyback Risks and the LPL Financial Litigation.*

In October 2012, with MPS trading at \$18.00, a Cashless Buyback™ proposal was delivered to M, the CFO of MPS. Implementation cost was minimal. If executed, then, as soon as MPS' stock price reached \$61.14 at any time within 9 years, MPS would receive a tax-free, cash "bonus equity" payment; MPS would pay no penalty if it missed the target. In December 2015, MPS' stock price reached \$69.25. *Had M put in place the Cashless Buyback™, MPS would have received \$1.742 billion, and, today, MPS' shares would be trading roughly \$43.33¹³ higher, a benefit in absolute size and relative to cost far in excess of anything MPS achieved through 11 years of traditional buybacks.*

This report, in addition to relating the MPS case, discusses the risks of traditional stock repurchase programs, highlights some programs that, for the moment, rank among the best (STMP, VRSN) and worst (EXAR, ISIL) within a small sample, and discusses governance issues that attach to buybacks as raised particularly by the recent LPL Financial (LPLA) litigation.

First Release: 3/28/16

Availability: www.ssrn.com/abstract=2755853

¹³ Benefit excludes impact of outstanding options.